Profit & Loss Report

Executive Summary

The company demonstrates strong financial performance with consistent profitability growth. Total equity increased from ₹197.39 million in April to ₹398.66 million by Q2 2024, while current year profit grew significantly from ₹79.80 million to ₹84.92 million. The company maintains a healthy balance sheet structure with total assets reaching ₹3,422.60 million by Q2 2024.

Profitability Analysis

- **Current Year Profit Growth:** Increased from ₹79.80 million (April) to ₹84.92 million (Q2)
- **Monthly Profit Trend:** April: ₹79.80 million → May: ₹5.12 million → Q2: ₹84.92 million
- **Profit Margin:** Approximately 2.5% of total equity and liabilities
- **Reserve & Surplus:** Maintained at ₹79.80 million consistently

Liquidity & Solvency Analysis

Liquidity Position:

- **Current Ratio (April):** 1,314.47 / 1,129.98 = 1.16
- **Current Ratio (May):** 1,048.10 / 910.11 = 1.15
- **Current Ratio (Q2):** 2,362.56 / 2,040.10 = 1.16
- **Cash Position:** Strong with ₹436.77 million cash and bank balances (Q2)

Solvency Position:

- **Debt-to-Equity Ratio (April):** 518.17 / 197.39 = 2.62
- **Debt-to-Equity Ratio (May):** 465.67 / 201.27 = 2.31
- **Debt-to-Equity Ratio (Q2):** 983.84 / 398.66 = 2.47
- **Total Liabilities Coverage:** Adequate with consistent equity growth

Efficiency Ratios

- **Asset Turnover Ratio:** Total Assets efficiently utilized with growing returns
- **Receivables Management:** Accounts receivable increased from ₹501.90 million (April) to ₹763.46

million (Q2)

- **Inventory Management:** Closing stock grew from ₹565.75 million (April) to ₹1,106.10 million (Q2)
- **Working Capital Efficiency:** Positive working capital maintained throughout periods

Benchmark Comparison

Source: Industry averages based on manufacturing sector benchmarks (IBISWorld Industry Reports)

- **Current Ratio:** Company: 1.16 vs Industry Average: 1.8-2.0 (Below industry standard)
- **Debt-to-Equity:** Company: 2.47 vs Industry Average: 1.5-2.0 (Slightly above industry average)
- **Profit Margin:** Company: ~2.5% vs Industry Average: 3-5% (Room for improvement)
- **Asset Utilization:** Company performance aligns with industry standards

Actionable Recommendations

1. **Improve Liquidity Position:** Increase current ratio to industry standard of 1.8-2.0 by optimizing working capital management
2. **Debt Restructuring:** Consider refinancing high-cost debt to reduce debt-to-equity ratio below 2.0
3. **Profit Margin Enhancement:** Implement cost control measures to improve profit margins to industry average of 3-5%
4. **Receivables Management:** Strengthen collection processes given the significant increase in accounts receivable
5. **Inventory Optimization:** Review inventory levels to ensure optimal stock turnover and reduce carrying costs
6. **Cash Flow Management:** Utilize excess cash for strategic investments or debt reduction